

ASEAN

The Association of Southeast Asian Nations, or ASEAN is a political and economic union of 10 states in South-East Asia. It has a combined population of over 600 million and GDP of approximately \$3.2 trillion. It was established on 8 August 1967 in Bangkok, Thailand, with the signing of the ASEAN Declaration (Bangkok Declaration). Its founding Members were Indonesia, Malaysia, Philippines, Singapore, and Thailand.

Expansion of membership: Brunei (1984), Vietnam (1995), Lao PDR and Myanmar (1997), and Cambodia (1999) joined the ASEAN later.



Evolution of ASEAN:

- 1995 – Members signed Southeast Asian Nuclear-Weapon-Free Zone Treaty to turn Southeast Asia into a nuclear-free zone.
- 1997 – Adoption of ASEAN Vision 2020.
- 2003 – Bali Concord II for the establishment of an ASEAN Community.
- 2007 – Cebu Declaration, to accelerate the establishment of ASEAN Community by 2015.

- 2008 – ASEAN Charter comes into force and becomes a legally binding agreement. It aimed to create a EU-styled community and a single trade bloc.
- 2015 – Launch of ASEAN Community.

Fundamental Principles:

ASEAN Member Countries have adopted the following fundamental principles in their relations with one another, as contained in the **Treaty of Amity and Cooperation in Southeast Asia (TAC)**:

- Mutual respect for the independence, sovereignty, equality, territorial integrity, and national identity of all nations; The right of every State to lead its national existence free from external interference, subversion or coercion;
- Non-interference in the internal affairs of one another;
- Settlement of differences or disputes by peaceful manner;
- Renunciation of the threat or use of force; and
- Effective cooperation among themselves.

Objectives of ASEAN

The ASEAN Declaration states that the aims and purposes of the Association are:

1. To accelerate economic growth, social progress and cultural development in the region and
2. To promote regional peace and stability through abiding respect for justice and the rule of law in the relationship among countries in the region and adherence to the principles of the United Nations Charter.

In 2003, ASEAN moved along the path of the European Union by agreeing to establish an ASEAN community comprising three pillars:

The ASEAN security community: No tension has escalated into armed confrontation among ASEAN Member Countries since its establishment more than three decades ago. To build on what has been constructed over the years in the field of political and security cooperation, the ASEAN Leaders have agreed to establish the ASEAN Security Community (ASC).

The ASC shall aim to ensure that countries in the region live at peace with one another and with the world in a just, democratic and harmonious environment. The members of the Community pledge to rely exclusively on peaceful processes in the settlement of intra-regional differences and regard their security as fundamentally linked to one another and bound by geographic location, common vision and objectives.

The ASEAN economic community: The ASEAN Economic Community shall be the end-goal of economic integration measures as outlined in the ASEAN Vision 2020. Its goal is to create a stable, prosperous and highly competitive ASEAN economic region in which there is a free flow of goods, services, investment and a freer flow of capital, equitable economic development and reduced poverty and socio-economic disparities.

The ASEAN Economic Community shall establish ASEAN as a single market and production base, turning the diversity that characterises the region into opportunities for business complementation and making the ASEAN a more dynamic and stronger segment of the global supply chain. ASEAN's strategy shall consist of the integration of ASEAN and enhancing ASEAN's economic competitiveness.

The ASEAN socio-cultural community: The ASEAN Socio-Cultural Community, in consonance with the goal set by ASEAN Vision 2020, envisages a Southeast Asia bonded together in partnership as a community of caring societies and founded on a common regional identity. The Community shall foster cooperation in social development aimed at raising the standard of living of disadvantaged groups and the rural population, and shall seek the active involvement of all sectors of society, in particular women, youth, and local communities.

ASEAN Way: Refers to a methodology or approach to solving issues that respect Southeast Asia's cultural norms. It is based on four principles: **non-interference, quiet diplomacy, non-use of force, and decision making through consensus**. Policymakers constantly utilise compromise, consensus, and consultation in the informal decision-making process. It prioritises a consensus-based, non-conflictual way of addressing problems. The ASEAN Way is considered reflective of the broader principle of "Asian solutions to Asian problems", which aims to avoid Western influence in intra-Asian conflicts.

Important ASEAN-led Forums

ASEAN Regional Forum (ARF)

- It is the first regionwide Asia-Pacific multilateral forum for official consultations on peace and security issues. It was Developed in 1994 to facilitate cooperation on political and security issues to contribute to regional confidence-building and preventive diplomacy.
- Its members are 10 ASEAN nations, ASEAN's 10 dialogue partners (Australia, Canada, China, the European Union, India, Japan, South Korea, Russia, New Zealand, and the United States). Papua New Guinea and Mongolia joined the group in 1999, and South Korea was admitted in 2000.
- The ARF is characterized by minimal institutionalization, decision making by consensus, and the use of both "first track" (official) and "second track" (nonofficial) diplomacy.

ASEAN Plus Three

- Initiated in 1997 brings together ASEAN's ten members, China, Japan, and South Korea. It has evolved as the main vehicle to promote East Asian Cooperation towards the long-term goal of building an East Asian Community, with ASEAN as the driving force.

East Asia Summit (EAS)

- It is an ASEAN initiative aimed at enhancing cooperation among East Asian countries and those in the neighboring regions.
- Began in 2005 with ASEAN 10 + Australia, China, India, Japan, New Zealand, and the Republic of Korea. The United States and the Russian Federation joined at the 6th East Asia Summit in 2011.
- only leader-led forum at which all key partners of the Indo-Pacific meet to discuss political, security and economic challenges facing the region.
- The chair position rotates between ASEAN Members on an annual basis.
- Six priority areas of cooperation – environment and energy, education, finance, global health issues and pandemic diseases, natural disaster management, and ASEAN Connectivity.
- In the past, the issues of claims over the South China Sea, the United Nations Convention on the Law of the Sea, terrorism, the actions of North Korea and the conflict situation in Myanmar have been discussed by the countries.

Importance:

- Represents nearly 50 per cent of the world's population, 20 percent of global trade, and comprising 16 nations that are on a dynamic path of economic development.
- Consists of geopolitical hotspots like Taiwan strait, South China Sea, East China Sea and most dynamic economic regions like ASEAN, India and China.
- Central to the future of Indo-Pacific since it has membership of all the key players.

Significance of ASEAN:

1. It is the 6th largest economy in the world and among the fastest growing markets.
2. It has Free-trade agreements (FTAs) with China, Japan, South Korea, India, Australia and New Zealand. Member of trade pacts like RCEP and CPTPP.
3. It has emerged as Key battlefield for geopolitical contestation between USA and China.
4. It lies at the heart of Indo-Pacific.
5. The region has geopolitical hotspots like South China Sea and Strait of Malacca as a choke point.

Challenges of ASEAN:

1. Nations are divided between Pro-China and pro-USA. They have not been able to take a consensus position against Chinese adventurism in the region.
2. Recent events like exodus of Rohingyas has divided nations on religious and ethnic lines.
3. The organisation lacks military capability to remain a relevant player in the emerging geopolitics.
4. New groupings like QUAD and AUKUS may reduce the significance of ASEAN.
5. China's island building and militarization of islands in the South China Sea.

India- ASEAN Relations

India ASEAN relationship has evolved from the 'Look East Policy' enunciated in early 1990s which led India to become a Sectoral Partner of ASEAN in 1992, a Dialogue Partner in 1996 and a Summit-level Partner in 2002. The relationship upgraded into Strategic Partnership in 2012. There are, in total, 30 Dialogue Mechanisms between India and ASEAN, cutting across various sectors.

Look East Policy has changed into a dynamic and action-oriented "Act East Policy" in 2014 during the 12th ASEAN-India Summit and 9th East Asia Summit.

Look East Policy and Act East Policy

Look East Policy

Look East Policy was launched by PV Narsimha Rao government aimed at fostering economic and strategic relationships with the Southeast Asian nations. It aimed at seeking trade expansion, investments, and enhanced regional integration.

Later on, Vajpayee government pushed the policy further by extending it to include countries beyond ASEAN, like South Korea and Japan. The strategic aspect of the policy was also emphasized.

Act East Policy:

Act East Policy, launched in 2014, was graduation of India's Look East Policy. Which focuses on strengthening India's economic and strategic relations beyond ASEAN to the broader East Asian region. It aims to promote economic integration and security cooperation in the region.

- The Act East Policy aims to enhance connectivity between North-eastern states, including Arunachal Pradesh, and neighbouring nations.
- It was initially an economic policy but has evolved to include cultural, political, and strategic components.
- Institutional mechanisms for dialogue and cooperation were established under this policy.
- The policy focuses on India-ASEAN cooperation in domestic initiatives. This includes infrastructure, manufacturing, trade, and smart cities.

Importance of Act East Policy

- The Act East Policy becomes significant due to China's increasing influence in the Southeast Asian and Indian Ocean regions.
- The policy can help secure freedom of navigation and the rule of law in the Indo-Pacific region.
- India's engagement with QUAD is an extension of its efforts to enhance security in the Indo-Pacific region.
- India's Act East Policy aims to achieve its long-term developmental goals for the North-eastern region.
- It provides an additional path to accelerate economic development, countering China's rising aggression in South Asia.

Significance of ASEAN for India:

1. Central to ensuring China's peaceful rise and ensuring rule-based order in the Indo-Pacific.
2. Critical sea lanes of communication pass through the region.
3. Lies in India's primary area of interest (As per Maritime Security Strategy 2015).
4. India's 4th largest trading partner.
5. Critical to the success of Act East Policy and development & stability of India's Northeast
6. Important investment destination and a market for Indian exports.
7. ASEAN nations like Philippines, Vietnam and Malaysia are emerging as key markets for India's defence exports.
8. Important for India's energy security and food security.
9. Cultural and civilizational linkages.

Economic Cooperation:

India-ASEAN have signed FTA in goods, services, and investment. ASEAN is India's fourth largest trading partner. India's trade with ASEAN stands at \$ 131 billion in 2022-23, with more than \$40 billion deficit to India. India's export to ASEAN stands at 11.28% of our total exports.

ASEAN accounting for approximately 18.28% of investment flows into India since 2000. The ASEAN-India Free Trade Area has been completed with the entering into force of the ASEAN-India Agreements on Trade in Service and Investments on 1 July 2015.

1. Major exports from India: Ships, boats, floating structures, mineral fuels, mineral oils and meat.
2. Major imports: telecom equipment, electrical machinery, mineral fuels, mineral oils and animal or vegetable fats and oils.

India had signed an FTA in goods with ASEAN in 2009, known as the ASEAN-India Free Trade Agreement (AIFTA). In 2014, an FTA in services was also included.

India's exports to ASEAN countries amounted to \$23 billion in 2010, which increased to \$36 billion in 2018, a 5% CAGR. At the same time, India's imports from these countries increased from \$30 billion in 2010 to \$57 billion, a 8% CAGR. This has resulted in India suffering huge trade deficits.

India and ASEAN are in talks to review the FTA in goods to increase more market access.

Security Cooperation:

1. Milan Naval exercise with many of the Southeast Asian nations.
2. Asian nations part of India's HADR initiatives.
3. Engagement through multiple platforms like ARF, ADMM+ etc.
4. India has sold defence platforms to Philippines. Other nations like Vietnam and Malaysia are also interested.

Challenges:

1. ASEAN wants India to have a more prominent security role but India lacks requisite capacity.
2. Concerns about USA-China strategic rivalry in the region and fear of India getting dragged into it.
3. Delay on the part of India to sell defence platforms.

Beijing has been pressurising ASEAN members states to insert certain clauses in the Code to restrict Japan, India, the US and Australia as well as other nations from engaging in maritime security cooperation with the South East Asian states and exploring resources in the South China Sea.

Mission to ASEAN: India has set up a separate Mission to ASEAN and the EAS in Jakarta in April 2015 with a dedicated Ambassador to strengthen engagement with ASEAN and ASEAN-centric processes.

Delhi Dialogue: India has an annual Track 1.5 event Delhi Dialogue, for discussing politico-security and economic issues between ASEAN and India. The 10th edition of Delhi Dialogue was hosted by the MEA on 19-20 July 2018 in New Delhi, with the theme, "Strengthening India-ASEAN Maritime Advantage".

Platforms for engaging with ASEAN Nations:

1. BIMSTEC and Mekong Ganga Cooperation
2. Asia-Europe Meeting (ASEM)
3. East Asia Summit (EAS),
4. ASEAN Regional Forum (ARF),
5. ASEAN Defence Ministers' Meeting + (ADMM+)
6. Expanded ASEAN Maritime Forum (EAMF).

Connectivity:



1. In 2013, India became the third dialogue partner of ASEAN to initiate an ASEAN Connectivity Coordinating Committee-India Meeting.
2. India-Myanmar-Thailand Trilateral Highway
3. The Kaladan Multimodal Project,
4. At 18th India- ASEAN summit, India proposed a \$1 billion line of credit to promote physical and digital connectivity in ASEAN

A possible extension to India-Myanmar-Thailand Trilateral Highway to Cambodia, Lao PDR and Vietnam is also under consideration.

Agriculture: India and ASEAN are cooperating by way of projects such as Exchange of Farmers, ASEAN-India Fellowships for Higher Agricultural Education in India and ASEAN, Exchange of Agriculture Scientists, Empowerment of Women through Cooperatives, Training Course on Organic Certification for Fruits, and Vegetables etc.

Science and Technology: Projects such as ASEAN-India S&T Digital Library, ASEAN-India Virtual Institute for Intellectual Property, ASEAN-India Collaborative Project on S&T for Combating Malaria, ASEAN-India Programme on Quality Systems in Manufacturing, ASEAN-India Collaborative R&D Project on Mariculture, Bio-mining and Bioremediation Technologies etc.

Convergence:

1. Commitment to Rule-based World order, multipolarity and multilateralism.
2. ASEAN-centric vision of the Indo-Pacific.
3. Shared concern about great- power rivalry in the region.
4. China as a common geopolitical threat and need to ensure that China's rise remains peaceful.
5. Common desire to deepen economic engagements and diversify supply chain linkages.
6. Tackling traditional and non-traditional security threats and safety of sea Lanes of Communication.
7. Threat of climate change, rising sea level and extreme weather phenomena.

Divergences:

1. India's withdrawal from RCEP and talks about review of India-ASEAN FTA in goods by 2025.
2. India- ASEAN trade is one-fifth of ASEAN-China trade.
3. Delay on the part of India to complete connectivity projects Asian trilateral Highway and Kaladan Multimodal Project.
4. India has been circumspect in its security commitments to the region.
5. There has been a delay in export of military platforms from India.

ASEAN Outlook on the Indo-Pacific

- ASEAN Outlook reinforces the ASEAN-centred regional architecture which is not aimed at creating new mechanisms or replacing existing ones.
- It intends to enhance ASEAN's Community building process and to strengthen and give new momentum for existing ASEAN-led mechanisms, including the East Asia Summit (EAS), the ASEAN Regional Forum (ARF) etc.
- It enumerates the four functional areas through which ASEAN believes collaboration can be tangibly advanced: 1. Maritime cooperation 2. Connectivity 3. Sustainable development 4. Economic and Other Possible Areas of Cooperation.

India's Vision for Indo-Pacific

In the **Shangri La Dialogue**, India's Indo-Pacific vision was explained by the Prime Minister:

- It stands for a free, open, inclusive region, which embraces all in a common pursuit of progress and prosperity. It includes all nations in this geography as also others beyond who have a stake in it.
- Southeast Asia is at its Centre and ASEAN central to its future.
- A common rules-based order for the region formed through dialogue. These rules and norms should be based on the consent of all, not on the power of the few.
- Rather than growing protectionism, India seeks for a level playing field for all. India stands for open and stable international trade regime.
- Connectivity is vital and India is doing its part, by itself and in partnership with others like Japan – in South Asia and Southeast Asia, in the Indian Ocean, Africa, West Asia and beyond.
- India's view can be summarized into five "S" in Hindi: Samman, Samvad, Shanti, Sahyog and Samriddhi.

China and ASEAN:

1. China has become largest trade partner of ASEAN, replacing EU. Bilateral trade is over \$500 billion.
2. They have upgraded their relationship to Comprehensive Strategic Partnership.
3. China aims to strengthen connectivity with ASEAN through Digital Silk Road and infrastructure projects like high speed rail project.
4. Chinese influence has resulted in division within ASEAN. Cambodia, Laos and Myanmar are Pro-China while Vietnam, Indonesia and Philippines have concerns with China.

Challenge:

1. Concerned about great power rivalry.
2. Due to territorial disputes in South China Sea, most nations see China as threat.
3. Fear of China weaponising trade, just as in case of Australia.
4. Concerns against BRI projects: In Laos, locals are complaining about involvement of Chinese labourers, Malaysia had cancelled many projects while Myanmar has scaled down the projects.
5. Due to lack of unanimity, ASEAN is unable to take a common position against Chinese coercion.
6. Capacity difference between ASEAN and China results in poor bargaining capacity of small ASEAN nations.

Myanmar Coup and ASEAN:

Coup in Myanmar: On 1 February 2021 the Myanmar military (also known as the Tatmataw) launched a coup against the civilian government, declaring the results of the November 2020 general election invalid and instating a one-year state of emergency. It stated its intent to hold a new election at the end of the state of emergency. Military has launched crackdown on anti-coup protestors resulting in civilian deaths.

ASEAN's Five-point peace plan for Myanmar Crisis:

- First, there shall be immediate cessation of violence in Myanmar and all parties shall exercise utmost restraint.
 - Second, constructive dialogue among all parties concerned shall commence to seek a peaceful solution in the interests of the people.
 - Third, a special envoy of the ASEAN chair shall facilitate mediation of the dialogue process, with the assistance of the secretary-general of ASEAN.
 - Fourth, ASEAN shall provide humanitarian assistance through the AHA Centre.
 - Fifth, the special envoy and delegation shall visit Myanmar to meet with all parties concerned.
- In 2021, ASEAN banned Myanmar from meetings.
- ASEAN has now banned Myanmar's generals from meetings until the organization's supposed peace plan makes progress.
- However, Myanmar has not taken efforts from implementation of the proposed plan. In September, Myanmar rejected ASEAN statement condemning the violence in Myanmar, calling the statement biased and one sided.

Central Asia



Central Asia is a subregion of Asia which stretches from the Caspian Sea in the west to China and Mongolia in the east, and from Afghanistan and Iran in the south to Russia in the north. The region consists of the former Soviet republics of Kazakhstan, Kyrgyzstan, Tajikistan, Turkmenistan, and Uzbekistan. Central Asia (2019) has a population of about 72 million, in five countries: Kazakhstan (pop. 18 million), Kyrgyzstan (6 million), Tajikistan (9 million), Turkmenistan (6 million), and Uzbekistan (35 million).

Importance of Central Asia:

- The region is said to be an 'arena of great game' being played out between Russia, China, US, Turkey, Iran, Europe, EU, Japan, Pakistan, India, and Afghanistan, all of whom have substantial security and economic stakes in the region.
- Central Asia is strategically positioned as an access point between Europe and Asia and offers extensive potential for trade, investment, and growth.
- Strategic Backyard of Russia and shares boundary with disturbed regions like Afghanistan and Xinjiang. It also acts as buffer between these regions and Eastern Europe.

- The region has become all the more important due to presence of Taliban in Afghanistan, China's Belt and Road Initiative and Russia's desire of reclaiming its lost glory.
- All these states are rich in minerals and well-endowed with hydroelectric resources. Kazakhstan has the world's second largest reserves of uranium and is the world's largest producer; Uzbekistan has large reserves of gas, uranium and gold; Turkmenistan has fourth largest reserves of natural gas; Tajikistan has huge hydroelectric potential; Kyrgyzstan is rich in gold and hydroelectric power.

India- Central Asia Relations

- India has enjoyed historical and civilizational linkages with Central Asia through the Silk Route since 3rd century BC. Post independent India's linkages with the Soviet period through culture, music, dance, movies and literature sustained close relations with the Soviet Republics.
- In the 1990s, when the five central Asian republics gained independence, India faced the twin challenges of adjusting to the emerging post-cold war order and domestic economic reform.
- Central Asian countries are part of India's "extended neighbourhood".
- We face common challenges such as terrorism, extremism, radicalisation, drug trafficking etc.

Significance for India:

- Key to stabilising Afghanistan and warding off security threats emanating from there.
- Strengthening India's presence in its extended neighbourhood and deepen cooperation with Russia.
- Energy security due to availability of uranium, oil and gas reserves
- Source of Raw Material for industries because of its mineral resources
- Lucrative market for Indian pharmaceutical products, agri-products, IT products and movies
- Opportunities for investment because of the developmental needs of Central Asian nations. These nations want to break away from Russia-China duopoly and thus look at India as a desired alternative.
- Avenue for cooperation between India and Russia.
- India's only overseas airbase lies in Farkhor, Tajikistan.

Bilateral Trade: Trade between India and Central Asia lies at a measly US \$2 billion compared to Chinese trade with the CARs, which roughly amounts to a US \$100 billion.

Security Relations:

- Both India and Central Asia face common threats of religious extremism, fundamentalism and drug trafficking that poses challenges to regional stability.
- India conducts bilateral military exercises like Dustlik with Uzbekistan, Kazind with Kazakhstan and Khanjar with Kyrgyzstan.
- All five Central Asian nations also participated in recently conducted Delhi Regional security dialogue over stability of Afghanistan.
- Strategic Partnership Agreements (SPA): India signed the SPA with three of the five CARs—Kazakhstan, Tajikistan and Uzbekistan—to stimulate defence cooperation and deepen trade relations.

Connectivity Initiatives:

- To improve connectivity, India has concluded a trilateral agreement for renovation of Chabahar port.
- Development of the International North South Transport Corridor (INSTC) and has become a member of the Ashgabat Agreement.
- Though India is part of the Turkmenistan-Afghanistan-Pakistan-India (TAPI) pipeline, progress is slow.

Ashgabat Agreement: The pact was signed in 2011 by Uzbekistan, Turkmenistan, Iran, Oman and Qatar and aimed at developing the shortest trade route between the Central Asian republics and Iranian and Omani ports. India joined the Ashgabat agreement in 2018 to diversify its connectivity options with Central Asia.

Regional Groupings: Both India and central Asian Republics (Except Turkmenistan) are members of Shanghai Cooperation Organization (SCO). India is negotiating FTA with Eurasian Economic Union (EEU).

Capacity Building: India launched ITEC (Indian Technical and Economic Cooperation) programme to provide assistance to the CARs countries in the area of IT, Management, journalism, diplomacy, entrepreneurship, and banking.

Connect Central Asia Policy: Launched in 2012, which is a broad-based approach including political, security, economic, and cultural connections. The Connect Central Asia Policy is based on - 4Cs: Commerce, Connectivity, Consular and Community.

Opportunity for India in Central Asia: Though active partners in the BRI, the disenchantment of the Central Asian countries has increased not only with the growing Chinese footprint in their economic and political systems but also because of repression of several Kazakh and Kyrgyz Muslims along with Uighurs in the Xinjiang region, resulting in many anti-Chinese protests.

Recent Initiatives:

1. In July 2015, Indian prime minister visited all five Central Asian states during a single trip for the first time.
2. For economic engagement, India has established the India–Central Asia Development Group and India–Central Asia Business Council.
3. Delhi Regional Security Dialogue, an NSA level summit held in New Delhi in November 2021 to discuss the security implications of the prevalent situation in Afghanistan included the NSAs of all five central Asian republics.
4. The first India-Central Asia summit that took place in virtual format on 27 January, 2022. The leaders agreed to hold the summit every two years.
5. India-Central Asia dialogue mechanism at the Foreign Ministers level. Recently, the third dialogue took place.
6. India has announced \$1 billion Line of Credit aimed at High Impact Development Projects (HICDPS) for socio-economic development of the region.
7. In January 2022, there was a virtual summit between India and five Central Asian republics. Prime Minister pitched for “an integrated approach for regional connectivity and cooperation for the next 30 years”. Three main objectives of the summit were:
 - to make it clear that cooperation between India and Central Asia is essential for regional security and prosperity. From Indian point of view, Central Asia is central to India’s vision of an integrated and stable extended neighbourhood.
 - to give “an effective structure to our cooperation. This will establish a framework of regular interactions at different levels and among various stakeholders.
 - to create an ambitious roadmap for our cooperation.

Second India-Central Asia NSAs in October 2023.

- It discussed measures for enhancing cooperation in cyber security, digital infrastructure, rare earths, and people-to-people contacts.
- Indian NSA proposed an India-Central Asia Rare Earths Forum to attract investment from the private sector.
- India also offered to provide technology related to digital payments free of cost to facilitate the setting up of sovereign digital real-time payment systems in line with the needs of these countries.
- India and Central Asian countries decided to work closely on cyber security and India offered help to build defences against cyber threats by creating a secure cyber-ecosystem.
- On connectivity, Indian NSA asked the Central Asian countries to utilise Chabahar port in Iran.

Challenges:

1. Lack of direct connectivity with the region.
2. Limited economic engagement between India and Central Asian republics.
3. Chinese footprints through BRI and China-Pakistan axis create challenges for deeper Indian engagements with the region.
4. Institutionalisation of engagements has begun only recently.
5. Central Asia has not been a strategic priority for India.
6. Indian strategy toward the region in the past has been subservient to its Afghanistan, China and Pakistan policies, and influenced by Russian and US designs.

China in Central Asia

In May 2023, China hosted **China-Central Asia Summit (C+C5)** in Xi'an to boost strategic cooperation with Central Asia on Belt and Road Initiative, Global Security Initiative, and Global Civilisation Initiative and efforts to end the war in Ukraine. During the summit, Xi Jinping reiterated that the security, sovereignty, independence, and territorial integrity of CARs must be upheld.

European Union



- The European Union is a group of 27 countries that operate as a cohesive economic and political block. It grew out of a desire to form a single European political entity to end centuries of warfare among European countries that culminated with World War II and decimated much of the continent.
- It traces its origins to the European Coal and Steel Community (ECSC) and the European Economic Community (EEC), established, respectively, by the 1951 Treaty of Paris and 1957 Treaty of Rome.
- In 1957, Belgium, France, Italy, Luxembourg, the Netherlands, and West Germany signed the Treaty of Rome, which created the European Economic Community (EEC) and established a customs union. They also signed another pact creating the European Atomic Energy Community (Euratom) for co-operation in developing nuclear energy. Both treaties came into force in 1958.
- The EU has developed an internal single market through a standardized system of laws that apply in all member states in matters, where members have agreed to act as one.
- 19 of these countries use euro as their official currency. The eurozone is a monetary union established in 1999, coming into full force in 2002, that is composed of the 19 EU member states that use the euro currency.
- Through the Common Foreign and Security Policy, the union has developed a role in external relations and defence.
- In 2012, the EU was awarded the Nobel Peace Prize for advancing the causes of peace, reconciliation, democracy, and human rights in Europe.

In 1985, the Schengen Agreement paved the way for the creation of open borders without passport controls between most member states and some non-member states.

In 1986, the European flag began to be used by the EEC and the Single European Act was signed.

The European Union was formally established through Maastricht Treaty (1992).

In 2002, euro banknotes and coins replaced national currencies in 12 of the member states. Since then, the eurozone has increased to encompass 19 countries.

On 1 December 2009, the Lisbon Treaty entered into force and reformed many aspects of the EU.

Lisbon Treaty:

1. It amended Maastricht Treaty and other previous treaties and protocols.
2. moved from unanimity to qualified majority voting in at least 45 policy areas in the Council of Ministers.
3. A more powerful European Parliament forming a bicameral legislature alongside the Council of Ministers under the ordinary legislative procedure
4. a consolidated legal personality for the EU
5. Creation of a long-term President of the European Council and a High Representative of the Union for Foreign Affairs and Security Policy.
6. The Treaty also made the Union's bill of rights, the Charter of Fundamental Rights, legally binding.
7. For the first time, the treaty gave member states the explicit legal right to leave the EU, and established a procedure by which to do so.

European Union – Decision-Making Bodies

The seven important decision-making bodies of the European Union:

1. European Parliament
2. European Council
3. European Commission
4. Council of the European Union
5. Court of Justice of the European Union
6. European Central Bank
7. European Court of Auditors.

Achievements of EU:

1. It has ensured peace in the Europe.
2. Shining example of benefits of mutual cooperation across the sectors.
3. Made Europe a key pole in geopolitics.
4. It has made Europe a prominent economic and technological powerhouse.
5. Helped in driving Eastern European nations out of poverty and ensuring better governance.
6. A model of supranational authority that can be emulated.

Challenges:

1. Internal divisions on the basis of ideology and economic prosperity.
2. Demand for assertion of separate identity and sovereignty. E.g., Brexit.
3. Threats emerging from Russia and China.
4. Emergence of border fencing due to refugee crisis.

5. Military dependence on Europe has limited the geopolitical influence of European Union.
6. Covid-19 and resultant uncertainty has posed new set of challenges.
7. The ongoing Ukraine crisis has also led to divisions within the union.

Brexit:

Brexit was the withdrawal of the United Kingdom from the European Union at 23:00 GMT on 31 January 2020. United Kingdom had been a member of European Union since 1973.

India-Europe Relations

- In 1962, India was the first developing country to establish diplomatic relations with European community.
- EU-India Cooperation Agreement 1994 provides the legal framework for EU-India relations. India and the EU have been strategic partners since 2004.
- In 2000, the first India-EU Summit took place. The relationship was upgraded into a 'Strategic Partnership' in 2004.
- In 2018, EU's strategy on India titled "A Partnership for Sustainable Modernization and Rules-based Global Order" was issued by the European Commission and the EU High Representative for Foreign Affairs and Security Policy which views India as an emerging global power that plays a key role in the current multipolar world and a factor of stability in a complex region and calls for greater India-EU political, security and defence cooperation.

Significance of EU:

1. Second largest economy in nominal terms and third in purchasing power parity.
2. France is a P-5 member and Germany is an aspirant.
3. Technological leadership in defence manufacturing, renewable energy, nuclear energy, water conservation etc.
4. Among the major export markets for Indian products. India continues to enjoy GSP benefits.
5. Significant voice at the UN, WTO, Climate change negotiations and global diplomacy.

Economic Relations:

1. The EU is India's third largest trading partner, with bilateral trade crossing \$116.36 billion. It is second largest destination for Indian exports.
2. EU is the biggest foreign investor in India, with €67.7 billion worth of investments made in 2018 (22% of total FDI inflows).
3. An investment facilitation mechanism for EU investments in India has been established in 2017. This has renewed focus on facilitating ease of doing business norms for EU investors in India.
4. Negotiations for a broad-based Bilateral Trade and Investment Agreement (BTIA) was held between 2007–2013 but negotiations were suspended after multiple impasses. The negotiations were restarted in June 2022.

Carbon Border Adjustment Mechanism (CBAM):

The European Union (EU) Carbon Border Adjustment Mechanism (CBAM) aims to encourage global industry to adopt greener and more sustainable technologies. The CBAM will be implemented gradually, with a transition period from October 1, 2023 to December 31, 2025.

- The CBAM will **apply to imports of cement, iron and steel, aluminium, fertilizers, electricity and hydrogen** from countries that have less stringent climate policies than the EU.
- Importers of these goods will have to buy carbon certificates that reflect the amount of carbon emissions embedded in their products.
- The price of these certificates will be equivalent to the price of carbon in the **EU Emissions Trading System (ETS)**, which is a market-based system that regulates the emissions of industries within the EU.
- It is intended to encourage cleaner industrial production in non-EU countries and prevent carbon leakage, which is the relocation of carbon-intensive activities to countries with lower environmental standards.
- The **CBAM is expected to translate into a 20-35% tax on select imports** into the EU starting January 1, 2026.
- India's **26.6% of exports** of iron ore pellets, iron, steel, and aluminium products go to the EU. These products will be hit by CBAM. India exports these goods worth around USD8 billion annually to the EU.

Broad Based Trade and Investment Agreement (BTIA)

It is being negotiated since 2007. The negotiations have been stalled since 2013. Both sides have major differences on crucial issues such as-

- **EU's demands:** significant duty cuts in automobiles, tax reduction on wines, spirits etc, a strong intellectual property regime, relaxation in India's data localisation norms, protection to all its items with Geographical Indication etc.
- **India's demands:** 'Data secure' status (important for India's IT sector); Ease norms on temporary movement of skilled workers, relaxation of Sanitary and Phytosanitary (SPS) and Technical Barriers to Trade (TBT) norms etc.

As per June 2020 study by the European Parliamentary Research Service, FTA can increase exports from the EU to India by about 52% to 56%, while imports from India would rise between 33% and 35%.

At the India-EU virtual summit in 2021, Both India and EU have agreed to engage for restarting the stalled BTIA. The negotiations have started. The aim is to strike the deal by 2023.

Defence Cooperation:

Though India does not have defence cooperation with European Union, it does have deep relationships with individual nations like France, Germany and Italy. After Ukraine crisis, European nations have gone for increasing their defence expenditure with Germany increasing it by more than \$100 billion and taking it above 2% of GDP. This provides opportunity for defence to be a new area of cooperation between India and European Union.

- First ever India-EU security and defence consultations were held in Brussels in June 2022.
- Both sides discussed about increasing maritime security cooperation and prospect of Co-development and Co-production of defence equipments.

Maritime Cooperation:

- Both India and the EU have stressed on the idea of freedom of navigation, maritime piracy, and adherence to United Nation Conventions on the Law of the Sea (UNCLOS) and the development of the blue economy and maritime infrastructure.
- Both have identified the Indo-Pacific as the new avenue for maritime cooperation.
- In January 2021, India and the EU hosted the first Maritime security dialogue in a virtual format. It has become a regular event.

Climate Change:

- Since 2016, the EU and India have together pursued a Clean Energy and Climate Partnership (CECP), which focuses on developing cooperation in clean energy and the implementation of the Paris Agreement, including in the area of energy efficiency, renewable energy, smart grids, storage, sustainable finance, and climate mitigation and adaptation.
- During 15th India-EU Summit in July 2020, a joint “Roadmap to 2025” for strengthening the strategic partnership including the preparation of a new work programme was released. The leaders suggested focus on mobilising finance and improving the market and investment environment with a view to enhancing sustainable energy access and resilience.
- The International Solar Alliance, founded by France and India, is a pioneering organisation with a primary target to mobilise more than US \$1 trillion by 2030, apart from bringing down the overall cost of solar energy installations.
- In March 2021, the EU became a member of the **Coalition for Disaster Resilient Infrastructure**, which was also co-founded by India.
- The EU has also invested in numerous programmes such as India-EU water partnership, solar park programme, and Facilitating Offshore Wind in India (FOWIND). One of the major investments was the signing of the 200 million EUR loan agreement between the EIB and the Indian Renewable Energy Development Agency.
- **EU – India Clean Energy and Climate Partnership:** It aims to strengthen cooperation on clean energy and the implementation of the Paris Agreement. The EU and India are working towards a clean energy transition to become less dependent on energy imports and to increase energy security.

Connectivity:

- During 2021 virtual summit, the two sides launched a “**connectivity partnership**” to pursue sustainable joint projects in other countries, particularly those in Africa, Central Asia and the Indo-Pacific region.
- The India-European Union (EU) Connectivity Partnership will be a vital component of the EU’s Global Gateway initiative that aims to create ‘links and not dependencies’ through investments in quality infrastructure in order to connect goods, services, institutions, banks, businesses and people across the world.

Global Gateway Initiative: For the European Union (EU), China is both a crucial trading partner, and an economic competitor and systemic rival. Aiming to align with third countries for mutual benefit to offset China’s influence, the EU, on 15 September 2021, launched its Global Gateway initiative. A connectivity initiative designed to counter China’s

Belt and Road Initiative (BRI). It has dedicating €300 billion for Global Gateway investments between 2021 and 2027.

Research and Development: India participates in international ITER fusion project, which aims to demonstrate the scientific viability of fusion as a future sustainable energy source.

Environment and Water: The EU and India also cooperate closely on the Indian Clean Ganga initiative.

City to City Cooperation: There is city-to-city cooperation between European and Indian cities such as Mumbai, Pune and Chandigarh in a first phase and twelve more cities involved in the current phase. Now it is being formalized in an India-EU Partnership for Smart and Sustainable urbanization, which will support the Indian 'Smart cities' and 'AMRUT' initiatives to boost joint research and

ICT Cooperation: The EU and India aim to link the 'Digital Single Market' with the 'Digital India'. "Start-up Europe India Network" initiative and EU-India Cyber Security Dialogue are other areas of cooperation..

Migration and mobility: The EU-India Common Agenda on Migration and Mobility (CAMP) is a fundamental cooperation agreement between India and EU.

Convergences:

1. Similar type of multicultural, multi-ethnic and multi-religious societies.
2. Commitment to democracy, human rights and Rule of law.
3. Shared vision of a multipolar world order and strengthening of United Nations.
4. Shared threat of China and convergence on rule based order in the Indo-Pacific.
5. Economic and technological complementarities.
6. Common threat of terrorism, radicalisation and stake in stabilising Afghanistan.

Divergences:

1. BTIA negotiations have not yet been completed.
2. Disagreements over Human Rights issues in India, that India considers as internal matter.
3. EU expressed its displeasure over change in status of Jammu and Kashmir.
4. On Ukraine crisis, many EU nations have criticised India's stance.
5. On climate change, demands for greater commitment from India.

India-EU on China:

Convergence:

1. Shared threat about China and instability in the Indo-Pacific.
2. EU considers China as a systemic threat and a challenge for European unity and solidarity.
3. Both are opposed to China's revisionism and debt-trap diplomacy.

Divergence:

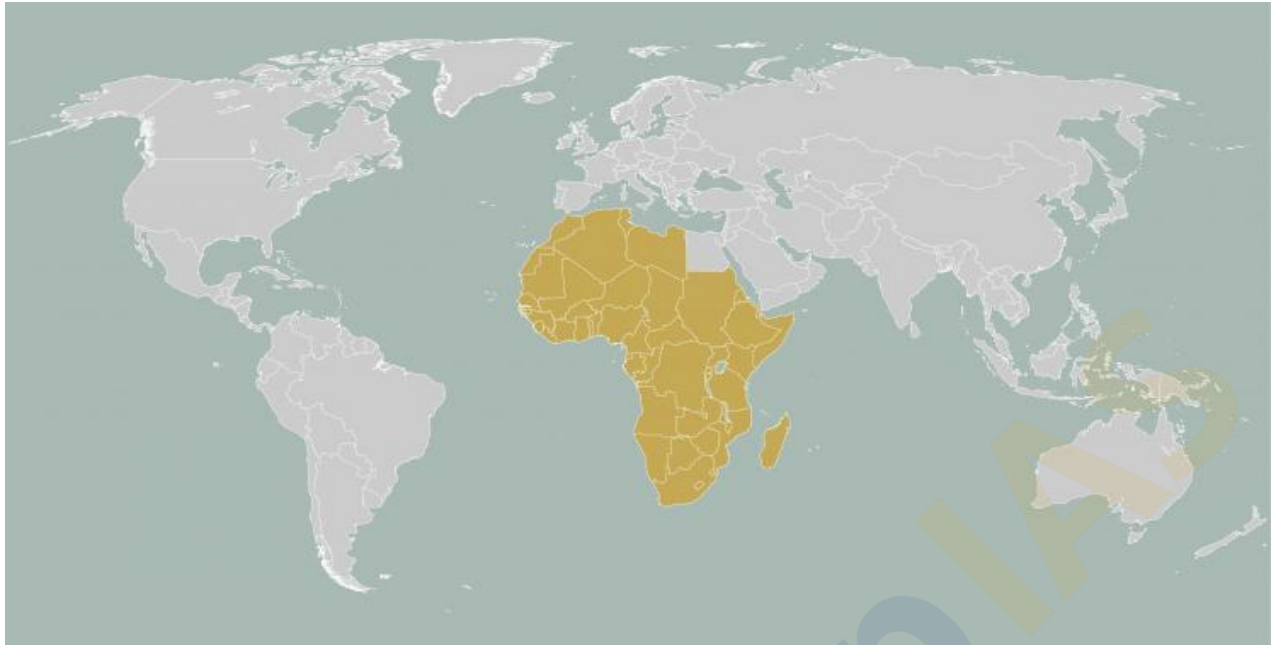
1. EU looks at China more as a market and less as a threat.
2. Both you and China aim to cooperate in tackling climate change.

3. EU looks at Russia as a bigger threat compared to China

Indo-Pacific:

1. Both India and EU agree on Free, Open, Peaceful and rule-based order in the Indo-Pacific.
2. ASEAN's centrality is common to the EU's and India's respective Indo-Pacific commercial connectivity agendas.
3. The new German government considers the Indo-Pacific a priority.
4. It has deployed naval ships on patrol in the Indo-Pacific region and its Air Force would be participating in pitch black exercise in Australia.
5. In 2021, French naval ships and submarines were present in the East Asia. France sees itself as a resident power in the region, and was the first EU country to develop an Indo-Pacific strategy.

Africa



Africa is the world's second-largest and second-most populous continent. It covers 20% of its land area. With 1.3 billion people as of 2018, it accounts for about 16% of the world's human population.

It has 54 nations and is rich in mineral resources That has attracted nations from across the world since the Middle Ages.

Africa is a continent of growth and opportunities. With the young and fastest growing youth population in the world and considerable natural resources and human capital at its disposal, Africa is poised to be a significant growth factor in the global economy. Presently Africa is being seen as a new growth Pole and there has been a scramble for Africa among the major global powers.

Significance of Africa

1. Africa is home to over half a dozen of the fastest growing countries of this decade such as Rwanda, Senegal, and Tanzania etc. Real GDP in Africa and Sub-Saharan Africa in the past decade has grown by more than twice the rate in 1980s and 90's, making it one of the growth poles of the world.
2. Africa accounts for nearly 17% of the world's population today and is expected to reach 25% in 2050.
3. Africa is among the youngest continent with 60% of population below 25 years and has fastest growing population. Thus, it has huge future market potential.
4. Africa has a population of over one billion with a combined GDP of 2.5 trillion dollars making it Ideal market and investment destination.
5. Africa is resource rich, dominated by commodities like crude oil, gas, pulses and lentils, leather, gold and other metals. This provides for economic Complementarities for both developed and developing economies.

6. The energy resources with Africa is key to the diversification strategy of many developing nations like India and China.
7. The number of countries in Africa make it an important block for voting at platforms like UN and WTO.
8. Africa has emerged as new battleground for major powers like India, China, USA and Europe to increase influence due to its resource richness, economic potential and voting power at global platforms.
9. The instability in Africa due to civil wars external interventions and terrorism has resulted in refugee crisis. This has added another layer to the challenges of geopolitics.
10. Geographically, Africa becomes important due to its location around critical sea lanes like Bab el mandeb and Suez Canal.
11. Since Africa shares its boundary with the Indian Ocean, it is important for the safety of sea lanes of communication.

African Union:

1. African Union, a Union of 55 member states, was founded on 26 May 2001 in Addis Ababa, Ethiopia, and launched on 9 July 2002 in Durban, South Africa. It replaced the Organisation for African Unity.
2. The highest decision-making organ is the Assembly of the African Union, made up of all the heads of state or government of member states of the AU.
3. The AU also has a representative body, the Pan-African Parliament, which consists of 265 members elected by the national legislatures of the AU member states.
4. The Executive Council, made up of foreign ministers of member states, prepares decisions for the Assembly.
5. The Economic, Social, and Cultural Council (ECOSOCC), a civil society consultative body.

Agenda 2063:

Agenda 2063 is a set of initiatives proposed and currently under implementation by the African Union. It was adopted on 31 January 2015. The stated goals of the agenda are **economic development** (including the eradication of poverty within one generation), **political integration** (in particular through the establishment of a federal or confederate United Africa), **improvements in democracy and justice**, establishment of security and peace on the entire African continent, strengthening of cultural identity through an "African renaissance" and pan-African ideals, gender equality, and political independence from foreign powers.

AfCFTA

The African Continental Free Trade Area (AfCFTA) is a free trade area founded in 2018, with trade commencing as of 1 January 2021. It was created by the African Continental Free Trade Agreement among 54 of the 55 African Union nations. The free-trade area is the largest in the

world in terms of the number of participating countries since the formation of the World Trade Organization.

India- Africa Relations

During struggle for independence, India always advocated for anti-colonialism and anti-imperialism in Africa. After Independence India took up the cause of decolonisation of African continent through the platform of Afro Asian Summit, Bandung Declaration of 1955 and NAM. End of racial struggle and decolonization became the rallying point of India–Africa relations.

However the relationship suffered because of instability in the African continent and India's focus on protectionism and import substitution. Since the beginning of 21st century, the relationship has grown by leaps and bounds across multiple sectors like economy, security, capacity building, tackling climate change etc.

Economic Relations:

- India's economic relations with Africa are truly multi-faceted, with the Indian Government extending timely grant-in aid to African countries, concessional lines of credit (LOCs), capacity building and technical assistance, supporting major projects in Africa, establishment of industrial units, among others.
- The India-Africa bilateral trade has been growing steadily, year-on-year, with the trade volume touching almost \$100 billion in 2022-23, and aims to double it to \$200 billion by 2030. India is the fifth largest investor in Africa with cumulative investments of **\$ 54 billion**.
- Bilateral trade is almost balanced with exports being US\$ 51.2 Billion and imports being US\$ 46.65 Billion in FY 2022-23.
- India has also signed bilateral trade agreements with more than 20 African countries.
- Africa has been one of the largest beneficiaries of Government of India's LOCs that currently amount to more than US\$ 6.3 billion out of an overall commitment of US\$ 10 billion.
- India's Duty-Free Tariff Preference Scheme (DFTP) for Least Developed Countries (LDCs) has benefitted 38 African countries and contributed to the expansion of India-Africa bilateral trade,
- In pursuance of trilateral cooperation with Africa, India is collaborating with Japan and Kenya to build a cancer hospital and is collaborating with UAE to set up a centre of IT Excellence in Ethiopia.

Political Engagements:

- India has setup **India-Africa Forum Summit (IAFS)** as a dedicated platform for engagement between India and African nations. Both India and Africa have aligned with each other on the platforms like Climate Change Negotiations, UNSC reforms and WTO.
- Over the last five years, India's top leaders have made 34 visits to African nations, and India had hosted nearly 100 African leaders for diverse bilateral and multilateral engagements.
- The Government of India identified 18 African countries including Burkina Faso, Cameroon, Cape Verde, Rwanda, Somalia, among others where new missions would be opened. This will result in Indian missions in 47 out of 54 countries.
- At the recently held G20 summit in India, African Union was made a permanent member of G20.

Security Cooperation:

- In the post-colonial Africa India had assisted to set up military academy in Ethiopia, defence college and Naval war college in Nigeria besides setting up air force in Ghana and training military personnel in number of African countries.
- India have had defence partnerships with Zambia, Nigeria, Ghana, Ethiopia, Botswana, Uganda, Namibia and Mozambique and is seeking to expand this to include more countries across the vast continent.
- India has coastal surveillance radar networks along Madagascar, Mauritius and Seychelles.
- East African nations share boundary with Indo-Pacific region and are key to augmenting India's strategy with respect to maritime security. East African nations form a critical part of India's Indo-Pacific strategy with India having signed multiple defence, trade and shipping agreements over the last few years.
- India is one of the largest contributors to peacekeeping in Africa and has participated in all the UN peacekeeping missions in Africa
- India has also built up its credentials as the first responder as in times of crisis in the Indian Ocean region.
- The first-ever India Africa Defence Ministers Conclave (IADMC) was held in Lucknow in conjunction with DefExpo in 2020. The dialogue will be conducted alongside every defence Expo. During the expo, both sides recognised the common security challenges such as terrorism and extremism, piracy, organised crime including human trafficking, drug trafficking, weapon smuggling and others and agreed to collaborate to tackle them together.
- AFINDEX- Africa India joint exercise. In its second edition in 2023, India reiterated its commitment to providing support to African partner-countries in all defence related matters—including capability enhancement of their Armed Forces—to ensure their economic growth and social development.

Energy Cooperation:

- India imports around 15% of its energy needs from Africa. Energy cooperation is also a key subset of India's development partnership with Africa. Under the International Solar Alliance (ISA) a sizeable share of India's concessional credit has been earmarked to Africa.
- Africa is an important component of One Sun One World One Grid project under International Solar Alliance.
- India and Morocco will explore joint electrification projects in Africa.

Diaspora Relations:

There is More than 3,000,000 people of Indian descendants in Africa. Indian Diaspora in Africa constitutes 12.37 per cent of the total Diaspora of India. A large chunk of Indian diaspora continues to live in African countries such as Kenya, Uganda, Mauritius, and Nigeria.

- India is also seeking to reinvigorate its cultural links with East Africa under the rubric of Project 'Mausam', an initiative of the Ministry of Culture.

Education and Capacity Building:

- India is investing in capacity building providing more than \$1 billion in technical assistance and training to personnel under the Indian Technical and Economic Cooperation (ITEC) program.
- India has invested **\$100 million** in the Pan-African E-Network to bridge the digital divide in Africa, leveraging its strengths in information technology.
- India is also helping Africa to bridge the digital divide through the 2nd phase of the pan-Africa e-Network project – e-VidyaBharati and e-ArogyaBharati Network Project, which aims to provide 5-years free tele-education to 4,000 students, free medical education to 1,000 doctors/nurses/paramedics and free medical consultancy.
- Solar Mamas trained at Barefoot college in Rajasthan and playing key role in solarisation of Africa.

Developmental Initiatives:

- India has executed 194 developmental projects in 37 African countries and is currently working to complete 77 more projects in 29 countries in the continent, with a total outlay of USD 11.6 billion.
- India and Japan have jointly launched Asian Africa Growth Corridor to boost connectivity in Asia and Africa and compete against China's BRI.
- The India- EU connectivity partnership includes Africa as an area of collaboration with a value-based approach.

India Africa Forum Summit:

The India–Africa Forum Summit (IAFS) is the official platform for the African-Indian relations. IAFS will be held once in every three years. First Summit- 2008, Second Summit- 2011, Third Summit- 2015.

Third summit was the largest-ever turnout of African leaders in India. Leadership from all 54 African nations were present. The fourth summit has been postponed due to Covid-19 pandemic.

Assistance during Covid-19:

Under India's landmark '**Vaccine Maitri**' initiative, India gifted 150 metric tonnes of medical supplies to 25 African countries. In addition, India supplied 25 million doses of vaccines that were produced within the country to 42 countries in the African region.

India's Approach towards Africa: Outlined at a speech in Ugandan Parliament by PM Modi.

1. Africa will be at the top of our priorities. We will continue to intensify and deepen our engagement with Africa. As we have shown, it will be sustained and regular.
2. Our development partnership will be guided by your priorities. We will build as much local capacity and create local opportunities as possible. It will be on terms that are comfortable to you, that will liberate your potential and not constrain your future.
3. We will keep our markets open and make it easier and more attractive to trade with India. We will support our industry to invest in Africa.
4. We will harness India's experience with the digital revolution to support Africa's development; improve delivery of public services; extend education and health; spread digital literacy; expand financial inclusion; and mainstream the marginalised.
5. Africa has 60 percent of the world's arable land, but produces just 10 percent of the global output. We will work with you to improve Africa's agriculture.
6. Our partnership will address the challenges of climate change.
7. We will strengthen our cooperation and mutual capabilities in combating terrorism and extremism; keeping our cyberspace safe and secure; and, supporting the UN in advancing and keeping peace.
8. We will work with African nations to keep the oceans open and free for the benefit of all nations. The world needs cooperation and competition in the eastern shores of Africa and the eastern Indian Ocean.
9. As global engagement in Africa increases, we must all work together to ensure that Africa does not once again turn into a theatre of rival ambitions, but becomes a nursery for the aspirations of Africa's youth.
10. Just as India and Africa fought colonialism together, we will work together for a just, representative and democratic global order that has a voice for one-third of humanity that lives in Africa and India.

Challenges:

1. Limited economic muscle, delay in project execution leads to mistrust about Indian commitments.
2. Lack of any grand strategy or dedicated policy in engagement with Africa.

3. Disconnect between India's development assistance to Africa and economic engagement with the continent.
4. India's development funds are channelized through African Union without significant role of Indian embassies in respective countries.
5. Mistreatment of African students and visitors in India generates animosity within African society.
6. Indian projects face challenge not only from China, but also from Europe and USA.
7. No project has been announced under Asia Africa growth corridor, seen as an alternative to BRI.
8. Lack of regular engagements. IAFS meetings have been too few and irregularly.

Report on Africa by Vivekananda International Foundation

The 20-member **Africa Expert Group (AEG)**, established by the **Vivekananda International Foundation (VIF)**, recently presented the Report entitled '**India-Africa Partnership: Achievements, Challenges and Roadmap 2023**'

- It states that Africa is slowly **heading toward regional integration** and is devoted to **democracy, peace and progress**.
- It has portrayed China's role as '**the infrastructure developer**', '**the resource provider**', and '**the financier**' to the region.

Recommendations:

- **Political and diplomatic cooperation:** Political and diplomatic cooperation should be strengthened by restoring periodic leaders' summits through the **medium of the India-Africa Forum Summit**; the last summit was in 2015.
- **Dialogue with African Union (AU):** Besides, a new annual strategic dialogue between the chairperson of the **African Union (AU)** and India's External Affairs Minister should be launched in 2023.
- **AU's entry into the G-20:** Another recommendation relates to forging consensus among G-20 members on the **AU's entry into the G-20 as a full member**.
- **Defence and security cooperation:** The government needs to increase the number of **defence attachés deployed in Africa**, expand dialogue on defence issues, and expand lines of credit to facilitate defence exports.
- **Economic and development cooperation:** India-Africa trade touching \$98 billion in FY22–23 is an encouraging development. But it can go up if access to finance through the **creation of an Africa Growth Fund (AGF)** is ensured.
- **Socio-cultural cooperation:** Socio-cultural cooperation should be increased through **greater interaction** between universities, think tanks, civil society and media organisations in India and select African countries, **Visa measures for African students** who come to India for higher education should be liberalised and they **should also be given work visas** for short periods.

China in Africa

1. China is Africa's largest trade partner with bilateral trade more than \$254 billion. It is 4th largest investor with total investment of \$43 billion.
2. Total Chinese loan to Africa is more than \$148 billion, making it single largest creditor to Africa.
3. China's first overseas military base is Djibouti, in the horn of Africa.
4. 39 countries from Africa support the BRI, with mostly coastal nations.
5. Since 2009, China has overtaken the United States as Africa's largest trade partner, bilateral trade between the two topping \$254 billion as of 2021.

Forum on China–Africa Cooperation (FOCAC)- Held regularly every three years. Til now, eight summits have taken place, latest one in 2021.

Security Cooperation:

1. China supports Africa's military transformation by providing equipment, advanced technology, and independent capacity-building.
2. The "China-Africa Defence and Security Forum" is an important development in this context as it is promises to be a major ideation forum.

Challenges:

1. The unilateral nature of the initiative, the lack of transparency and accountability to African countries, and the absence of projects that directly benefit locals have raised suspicions and fuelled local resentment.
2. Frequent local protests and harassing and kidnapping of Chinese workers in countries like Nigeria, Uganda and Tanzania.

India Vs. China in Africa

1. At 3rd IAFS, India offered \$10 billion investment, while at the 2018 Forum for China–Africa Cooperation in Beijing, China offered Africa \$60 billion for development financing until 2021.
2. Because of the social capital India has in Africa, its presence is welcomed by African countries in a way that China's is not.
3. China goes for large infrastructure projects while India is mainly focussed on HICDPs and capacity building initiatives.
4. Chinese projects are extractive and strategically located while India's projects are as per needs of respective countries and funds are handled by African Union.
5. Some of Indian initiatives like Solar Mamas have been globally acknowledged.

Suggestions:

1. To overcome the China challenge in Africa, increased cooperation between India and its international allies should be priority. The recent India-EU Summit has identified Africa as a region where a partnership-based approach will be followed.

2. The fourth summit, pending since last year, should be held as soon as possible, even if in a virtual format.
3. Rather than playing catch-up with China, India should leverage its own unique strength in areas like capacity building, entrepreneurship, MSME etc.
4. Undertake projects under AAGC and synergise between Act East and PQI.
5. Take direct control of development programme by involving respective missions, rather than handing it to AU intermediaries.
6. Disburse aid bilaterally and align it to national priorities of respective states to make them stakeholders.



Latin America

Latin America is the portion of the Americas comprising countries and regions where Romance languages—languages that derived from Latin—such as Spanish, Portuguese, and French are predominantly spoken. The term was originally used to refer to places in the Americas that were ruled under the Spanish, Portuguese, and French empires.

Latin America has almost 13% of earth's land surface area, 652 million population and a GDP of around \$5.1 trillion.



India- Latin America Relations

Mexico was the first Latin American country to recognize India after its independence in 1947. When Fidel Castro ousted the Batista regime in Cuba in 1959, India was one of the first countries to recognize the new government, set-up an embassy in Havana and establish diplomatic relations.

Importance of Latin America:

1. The region is very important for India in order to achieve its global ambitions like membership of the UNSC, the NSG and at various other negotiations like climate change, terrorism, trade, etc
2. India is cooperating with Brazil at platforms like BRICS, IBSA which has provided an alternative platform for developing countries
3. Having energy rich nations like Brazil, Mexico, Venezuela; region is key to India's energy security.

4. Latin America has three G20 economies, i.e., Brazil, Mexico, and Argentina. Thus, making it a preferable market for Indian businesses.
5. Mineral rich region with strategic minerals like lithium, cobalt, copper etc.
6. Food security- large arable areas in Brazil, Argentina etc.

Economic Relations:

- The annual India-Latin America trade had reached \$50 billion in 2022-23, with a target to double it to \$100 billion by 2027. India's exports to Brazil stood at \$10 billion, almost double the exports to Japan.
- Latin America is a key market for Indian cars (28%), Motor cycles (22%), pharmaceuticals and IT services.
- India imports edible oils and sugar from Brazil and Argentina; copper and precious metals from Chile and Peru; wood from Ecuador, etc. In turn India exports diesel, textiles and manufactured products.
- Indian companies have a presence in LAC countries in areas such as agriculture, energy, IT, pharmaceutical products, manufacturing and automobiles with total investments in this region amount to \$15 billion.
- India is the fifth largest supplier of pharmaceuticals to Latin America. Over two dozen Indian IT companies have service and development centres there.
- Under India's development partnership initiative, New Delhi has extended 35 lines of credit to partners such as Bolivia, Cuba, Jamaica, Guyana, Honduras, Suriname, Nicaragua.
- India has promoted a strategic partnership with Brazil; a privileged partnership with Mexico. India has PTA with MERCOSUR. Mercosur is a South American Trade Bloc. Its full members are Argentina, Brazil, Paraguay, and Uruguay.
- India is looking at exploring the potential of region for defence exports.

Indian investment in Latin American hydrocarbons, pharma, automobiles, agro-processing, engineering, textiles, chemicals, electronics is estimated around \$20 billion.

India's top leaders have made 34 visits to the Latin America and the Caribbean region in the past nine years, including four by PM Modi.

Energy Security: India now imports 20% of its crude oil from Brazil, Columbia, Mexico and Venezuela. Latin America is also an important partner in the India led International Solar Alliance.

Food Security: Latin America can also contribute towards food security. The region is five times the size of India and has only half the population. India imports soy oil from Argentina and Brazil and more than 20% of its edible oil from the region. Surplus arable land with Latin America can be key to India's food security.

Cheaper imports: Latin America is also very rich in minerals such as copper, lithium, iron ore, gold and silver, and could give India an opportunity to increase investments for their extraction as well as for their import at cheaper rates.

India is trying to acquire cobalt and lithium mines in Argentina, Bolivia and Chile.

Challenges:

1. Geographical distance and lack of connectivity.
2. Language barrier: Spanish and Portuguese are the dominant languages in the region, while India's official language is Hindi and English.
3. India lacks membership of key institutions like Inter-American Development Bank. However, India has PTA with Mercosur.
4. India lacks diplomatic presence and engagement with whole nations. Its engagement is limited to key nations like Mexico, Brazil and Argentina.

Suggestions:

1. As suggested by Dr. Jaishankar, two sides should negotiate mobility agreements since legal mobility is becoming increasingly important and mutually beneficial in a knowledge economy
2. Ensuring diplomatic presence in all Latin American nations.
3. High level diplomatic engagements with all Latin American nations, apart from Mexico, Brazil and Argentina.
4. Government should complement the engagement by private sector in the region.
5. Going for joint development of lithium mines in lithium triangle nations. This can be key to domestic battery manufacturing and achieving green mobility targets.
6. Given India's status as the fifth largest economy and the country's rising demand for oil, gas, strategic minerals and food, the two sides should work on resource partnerships. Indian products and services can also meet the needs of the middle class of LAC countries.

Indian Diaspora

International Migration 2020 Highlights by UNDESA (UN Department of Economic and Social Affairs) has said that the Indian Diaspora (18 million residing outside India in 2020) is the largest in the world.

The Indian diaspora around the world now stands at 31.2 million, of which PIOs were 17 million and NRIs were 13 million, spread across 146 countries in the world.

According to Reserve Bank of India, India received approximately \$107.5 billion in remittances in 2022-23 with USA being the biggest source, accounting for over 23% of these funds.

Nearly 200 persons of Indian origin, according to some estimates, occupy leadership positions in about 15 countries; about 60 per cent of them are in cabinet positions. President Joe Biden has appointed nearly 140 Indian Americans to key positions in the administration. Indian-origin men and women also lead top businesses, universities, scientific establishments, and civil society in the English-speaking world.

Evolution of Policy towards Diaspora:

During pre-independence period, The Indian political elites had shown solidarity and shared their concerns with the Indian expatriates through deputations by the Congress delegates. the plight of Indians abroad was a major issue for the independence movement led by Indian National Congress.

After achieving independence in 1947, there was a paradigm shift in the position of Diaspora policy as a result of India's foreign policy being guided by Nehruvian ideals of anti-imperialism and racial apartheid, respect for Sovereignty and non-alignment.

The then Prime Minister of India, Jawaharlal Nehru categorically announced that ethnic Indians who chose to remain abroad would consider themselves as citizens or nationals of their respective host lands. In fact, they were encouraged to integrate with host culture and fight for the liberation of their adopted lands.

- Even during the nationalist backlash against the Indian communities in Africa and Asia in the 1950s and 1960s, Delhi consciously distance itself from the Indian communities abroad.
- As India turned inwards, Delhi also took a dim view of the "brain drain" as many well-trained Indians began to look for opportunities elsewhere.
- It was only in the late 1980s that Delhi began to rethink its approach to the diaspora.
- **PM Rajiv Gandhi** was the first to appreciate the potential role diaspora could play in advancing national development and improving India's ties with the US.
- In 2000, the **Pravasi Bharatiya Divas** was commenced to mark the contribution of the overseas Indian community towards development of India. A separate Ministry for Overseas Indians was also formed under PM Vajpayee. In 2016, it was merged with the Ministry of External Affairs.
- Since then, successive governments have harnessed the diaspora for national development.

- With coming of Modi government, diapora has got even greater centrality in both domestic and foreign policy.

Some innovative initiatives for the diaspora are Know India Programme (KIP) and Study India Programme (SIP), Pravasi Teerth Darshan Yojana, Indian Community Welfare Fund (ICWF) etc.

Countries Hosting Indian Diaspora -2020

- United Arab Emirates (UAE) – 3.4 million
- United States of America (USA) – 2.7 million
- Saudi Arabia – 2.5 million

Role of Diaspora:

- Projecting India's soft power: In most of the nations, they are the richest minority and act as "bridge-builders" between India and their adopted countries.
- Lobby for India's national interests
- Support economically through investment and remittances.
- Ambassadors of India's syncretic culture and traditions
- Contribute economically to India's rise through investments and helping in mobilising investments in India.
- Key to Changing negative perception about India and creating a positive perception.

Indians in the Gulf

- Around 8.5 million Indians live and work in the Gulf countries, one of the largest concentrations of migrants in the world.
- The geographical and historical proximity, demand for blue-collar workers in the gulf makes it a convenient destination for Indians.
- Today migrants from across India are working and living in the Gulf countries (Saudi Arabia, UAE, Qatar, Bahrain, Oman, and Kuwait).
- Source of remittance for India.
- Concern of Indian workers has been a concern in India's engagement with the Gulf.

Benefits:

1. It has deepened the relations between India and the gulf states.
2. A win-win relationship- where gulf states get the much-needed workforce and Indians get employment and India gets remittances.
3. Indian businesses are among the biggest investors in the gulf region

Challenges:

1. Harsh punishments like death sentence for common crimes to Indians puts Indian diplomacy in a tight spot. Recently, Qatar awarded death sentence to eight Indians.
2. Accusations of substandard working conditions and exploitative laws like kafala system.

3. Frequent conflicts in the region and need to evacuate Indians.
4. Economic downturn in gulf states, new laws like Kafala system and Covid-19 pandemic have restricted employment opportunities for Indians.

Indians in USA and West:

- The diaspora is highly educated and goes to the USA for better employment opportunities, higher education, research and development.
- Migration has increased substantially after the IT revolution.
- In recent decades the population has grown substantially with 2.4 million Indian immigrants' residents in the United States as of 2015.
- This makes the foreign-born from India the second-largest immigrant group in the US after Mexicans.
- Indian diaspora in the USA is both politically and economically influential. They are among the most educated and high per capita income group in the USA.
- They have played key role in strengthening India- USA relations.

The Indian Diaspora has evolved over three phases in U.S, firstly the pursuit of education and employment, secondly, as major source of remittances (\$10.657 Billion annual remittance from US to India in 2017) and thirdly as effective players in impacting the dynamics of U.S.

Indians are among innovators, investors and entrepreneurs creating job opportunities and giving edge to the US and European economies.

- Sunder Pichai (Alphabet), Satya Nadela (Microsoft), Ajay Banga (Master Card), 34% of Microsoft employees in US are of Indian origin.
- 12% scientists in USA are Indians.
- 36% of NASA scientist in US are Indians.
- Prominent politicians: Nicky Helly, Pramila Jayapal, Rishi Sunak

Leading Indian-American entrepreneur and activist Swadesh Chatterjee in his book 'Building Bridges: How Indian-Americans Brought the United States and India Closer Together', provides a first-hand account of the involvement of the influential community in getting the deal through the US Congress. It was a grassroot campaign by Indian-Americans, who literally flooded their lawmakers with emails, letters and faxes, that saw the Indo-US civil nuclear agreement pass through the Congress, says a new book on the unprecedented coming together of the community for the deal.

Issues:

1. It creates scope for interference in India's domestic politics. E.g.- during protests against agricultural laws.
2. India gets involved in cases of discrimination and hate crimes. This might distract attention from other substantive issues.

3. Changes in migration related rules like H1-b visa (USA) and Mode-4 migration (EU) have been key areas of concern in diplomatic negotiations.
4. Activities of Khalistan-supporters, aided by ISI and other anti-India elements have created a new challenge and has potential to disrupt the bilateral relations.
5. Accusations of India's involvements in assassinations and assassination attempts of terrorists in foreign nations has emerged as a new area of Challenge in the bilateral relations with these nations.

Indians in Africa:

There is More than 3,000,000 people of Indian descendants in Africa. Indian Diaspora in Africa constitutes 12.37 per cent of the total Diaspora of India. A large chunk of Indian diaspora continues to live in African countries such as Kenya, Uganda, Mauritius, and Nigeria.

They are mainly the descendants of indentured and ex-indentured labourers who had been taken by the colonial regime to work on the farms. In recent times, people have moved for investment and business purposes due to booming economies of Africa. However, the government gives lesser attention to the African diaspora compared to the diaspora in the Gulf or in the Western nations.

Prominent People:

Prime Minister of Mauritius Praveen Jagannath
Bhimji Shah (Kenya), Sudhir Rupareila (Uganda) is among the richest Africans.

Challenges:

1. Indian businessman like Gupta brothers found involved in money laundering dents the image of honest business practices by Indian diaspora.
2. Incidences of hate crime that occurs sometimes in Kenya, South Africa etc.
3. Sentiments about Indian businesses as exploiters in the past during Idi Amin regime has started emerging again in countries like Tanzania.

India in South East Asia:

1. The Indian civilization naturally extended to the territories of present-day South-East Asia. The spice and silk routes helped in exchange of ideas, culture and people apart from trade.
2. There is no uniformity in terms of social, political and economic progress among Indians in South East Asia.
3. Indian diaspora is in key position in the areas like IT, education and technology in Singapore, Philippines, Malaysia etc.
4. In Singapore, prominent persons of Indian origin include former President Late S. R. Nathan and Late S. Rajaratnam, an influential personality in the public life of Singapore.
5. Indians are also well represented across judiciary, civil services and armed forces.

6. The economic and social status of Indian vis-à-vis Chinese and locals are not satisfactory in nations like Malaysia.
7. The Indian community's contribution to Malaysia's GDP is about 2% and its share in Malaysia's international trade is about 3%.

Steps taken to deepen engagements:

- Pravasi Bharatiya Divas
- Merging of PIO and OCI cards:
- National Pension Scheme for NRIs
- Overseas citizenship of India scheme
- Know India Programme
- Pravasi Teerth Darshan Yojana
- Scholarship Programmes for Diaspora Children ([Click here for Website....](#))
- Indian Community Welfare Fund (ICWF)
- Pravasi Bharatiya Divas Conferences
- India Development Foundation of Overseas Indians (IDF-OI)